

Employing in South Korea

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant written contracts under the Labor Standards Act (LSA)
- **Monthly payroll** — salary payments in KRW, itemised payslips (Art. 43 LSA)
- **Tax withholding** — progressive income tax withheld and remitted to the National Tax Service
- **4 Major Insurances** — National Pension, Health Insurance, Employment Insurance and Industrial Accident Compensation Insurance
- **Leave and termination management** — notice periods, entitlements and statutory severance (Taejikkeum) guidance

Employment Conditions

Contracts & Probation

Written contracts (preferably in Korean) are required and must include job description, work location, hours, holidays, wages and term. Fixed-term contracts are capped at 2 years, after which they convert to indefinite (permanent) employment.

Item	Detail	Legal Basis
Fixed-term contracts	Maximum 2 years; converts to permanent thereafter	Labor Standards Act
Probation period	No statutory minimum/maximum; 3 months typical, up to 90% pay discount allowed if contract is 12+ months	Employer discretion
Wage delay penalty	20% annual interest on all delayed wages (since Oct 2025); up to triple damages for deliberate delay	Labor Standards Act (2025 amendment)

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 40 hrs/week	Labor Standards Act
Overtime cap	Up to 12 additional hours/week by agreement (52-hour week max)	Labor Standards Act
Overtime premium	150% of ordinary wage (150% night work 10pm–6am; 200% holiday work beyond 8 hrs)	Labor Standards Act

Minimum Wage & 4 Major Insurances (2026)

Measure	Rate	Notes
Minimum wage	KRW 10,320/hour (KRW 2,156,880/month, 209 hrs)	+2.9% from 2025; effective 1 January 2026
National Pension (NPS, employer)	4.75% of monthly wages	Rising 0.5%/year to reach 6.5% each side by 2033
National Health Insurance (NHI, employer)	~4.004% of monthly wages	Includes Long-Term Care Insurance; split equally with employee
Employment Insurance (EI, employer)	1.15%–1.75% of monthly wages	Employee pays a flat 0.9%
Industrial Accident Compensation Insurance (IACI)	Varies by industry risk, 100% employer-funded	No employee contribution

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	15 days/year (rising with tenure, capped at 25)	Employer	After 80% attendance in the preceding year; pro-rated in year one
Maternity Leave	90 days (120 for multiple births)	Employer (first 60 days) + Employment Insurance	45 days must be taken after birth
Paternity Leave	20 days (extended from 10 days)	Employment Insurance (government-funded)	Must be taken within 120 days of birth
Statutory Severance (Taejikkeum)	30 days' average wage per year of service	Employer	Applies after 1 year of service, regardless of reason for departure — including resignation

★ HERO TIP

Korea's severance pay is one of the most distinctive features of the market — every employee with 1+ years' service is entitled to it upon departure for any reason, including voluntary resignation, calculated as 30 days' average wage per year of service with no cap. This adds roughly 8.3% to annual labour cost and must be paid within 14 days of termination — budget for it as a standing liability, not an exceptional cost.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
National Pension (4.75%)	\$142.50	4.75%
National Health Insurance (~4.0%)	\$120.00	4.00%
Employment Insurance (~1.45%)	\$43.50	1.45%
Severance accrual (Taejikkeum, 8.33%)	\$250.00	8.33%
EOR service fee (HeroForce, Tier 2)	\$500.00	16.67%
Estimated total monthly cost	~\$4,056.00	~135.2%

HeroForce EOR service fee shown at USD \$500 per employee per month (Tier 2 pricing), no setup fee. Severance is shown as a monthly accrual for illustration, though it is paid as a lump sum on departure. Industrial Accident Compensation Insurance varies by industry and is excluded. Employee deductions (withheld separately) include NPS (4.75%), NHI (~4.0%), EI (0.9%) and progressive income tax.

Income Tax (2026, Illustrative)

South Korea applies progressive national income tax rates (plus a 10% local income tax surcharge on the national tax amount) withheld monthly by the employer via a simplified tax table, with annual year-end reconciliation ("Yeon-mal-jeong-san").

Annual Taxable Income (KRW)	National Rate
Up to 14,000,000	6%
14,000,000 – 50,000,000	15%
50,000,000 – 88,000,000	24%
88,000,000 – 150,000,000	35%
150,000,000 – 300,000,000	38%
300,000,000 – 500,000,000	40%
Above 500,000,000	42% – 45%

Foreign employees may elect a flat 19% tax rate on gross employment income (in lieu of progressive rates and most deductions) for a limited period — confirm current eligibility with your HeroForce EOR.

Termination & Separation

Notice & Just Cause

Item	Detail	Key Rule
Notice period	30 days' written notice, or pay in lieu	Labor Standards Act
Just cause requirement	Dismissal must have "justifiable reason" (misconduct, poor performance with documented process, or genuine redundancy)	Labor Standards Act
Statutory severance	30 days' average wage per year of service, paid within 14 days	Labor Standards Act / Employee Retirement Benefit Security Act

★ HERO TIP

Korean labour law makes dismissal without well-documented "justifiable reason" a high-risk area — the Labor Relations Commission actively hears unfair dismissal claims, and reinstatement with back pay is a common remedy. Always route Korean terminations through your HeroForce EOR to confirm the dismissal grounds and process before issuing notice.

Public Holidays 2026

South Korea observes a mix of fixed national holidays and lunar-calendar holidays (Seollal and Chuseok), which shift each year and typically extend into multi-day breaks.

Date (2026, approx.)	Holiday	Type
1 January	New Year's Day	National
~mid-February	Seollal (Lunar New Year, 3 days)	National (lunar calendar)
1 March	Independence Movement Day	National
5 May	Children's Day	National
~May	Buddha's Birthday	National (lunar calendar)
6 June	Memorial Day	National
15 August	Liberation Day	National
~late September	Chuseok (Korean Thanksgiving, 3 days)	National (lunar calendar)
3 October	National Foundation Day	National
9 October	Hangul Day	National
25 December	Christmas Day	National

Seollal and Chuseok dates follow the lunar calendar and are confirmed by the government each year — when they fall on a weekend, a substitute weekday holiday is typically granted.

Ready to hire in South Korea?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first South Korea employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month, no setup fee (Tier 2).